

Growth and Performance Analysis

Acquisition-Driven Growth: A Marketplace Yet to Build a Retention Engine

Brazilian E-Commerce Public Dataset by Olist
October 2016 - August 2018

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Acquisition-Driven Growth: A Marketplace Yet to Build a Retention Engine

Executive Summary

This analysis examines whether the growth of a transactional marketplace is driven by a stable and expanding retention base, or whether it remains structurally dependent on continuous new customer acquisition. The findings reveal a business that is growing in volume but has yet to develop the retention foundations necessary for sustainable, long-term growth.

Objective

This analysis aims to determine whether marketplace growth is the result of stable or improving customer retention, high-quality acquisition that converts into repeat behavior, or variables that are inherently difficult to sustain over time. To answer this, the analysis is structured around five business questions covering revenue contribution, cohort decay, revenue versus customer retention, behavioral expansion, and structural churn leakage.

Key Findings

- New customers account for 97.04% of total revenue across the observation period, while retained and resurrected customers together contribute less than 3%. The platform does not yet have a sufficiently large existing customer base to serve as a revenue buffer when acquisition slows down.
- Every cohort experiences a sharp retention drop immediately after the first month, with monthly retention consistently staying below 1% across all cohorts. This pattern most likely reflects the natural buying cycle of durable goods rather than a direct platform failure.
- CRR and RRR move in tandem around the 3% range with no meaningful divergence, and CRR is persistently higher than RRR. This indicates that returning customers tend to transact at lower values than the platform average, which means the platform cannot yet claim to have an expanding revenue base from its existing customers.
- There are no signs of behavioral expansion on either the AOV or frequency dimension. New customer AOV is flat in the R\$150–R\$170 range, while retained and resurrected AOV averages roughly R\$14 lower. Growth in existing customer order volume reflects the natural accumulation of a larger base over time, not an increase in purchase frequency per individual.
- More than half of resurrected customers (54.06%) have already entered the at-risk or churned zone by the end of the observation period. Their return to the platform was most likely driven by natural buying cycles rather than structured retention efforts, leaving the business at risk of losing the same customers a second time without intervention.

Business Implication

The marketplace is currently operating on an acquisition-led growth model, where revenue is sustained by continuous inflow of new customers rather than a compounding base of loyal ones. This creates a structurally fragile business. Any slowdown in acquisition directly translate to a revenue decline, with no retained base to absorb the impact.

The dominance of durable goods across the product mix adds an important layer of complexity to this picture. In a marketplace where the majority of products have medium to long usage cycles, the conventional retention playbook that built around repurchase within a short window may not be directly applicable. Customers who have purchased furniture, construction tools, or electronics may not need to buy again for months or years, which means standard re-engagement approaches risk being poorly timed and therefore ineffective. At the same time, this characteristic also represents an untapped opportunity, if the business can successfully drive cross-category purchasing among existing customers, it can generate incremental revenue without waiting for the natural repurchase cycle to complete.

Without a deliberate shift toward a more nuanced retention strategy, one that accounts for both product lifecycle and customer engagement the business will face growing pressure on unit economics and limited expansion of customer lifetime value.

Recommendations

- Prioritize post-purchase engagement by implementing onboarding sequences, personalized follow-ups, and loyalty incentives to convert first-time buyers into repeat customers. This directly addresses the acquisition dependency identified in the analysis and is the most immediate lever available to the growth team.
- Develop a category-aware engagement strategy that accounts for natural buying cycles. For customers who purchased durable goods such as furniture, construction tools, or electronics, focus on cross-category discovery and value-added content rather than repurchase prompts. For customers in faster-moving categories, deploy proactive re-engagement within the established interpurchase day threshold windows. This distinction will improve campaign relevance, reduce wasted spend, and produce cleaner retention data over time.
- Identify the critical window between the first and second purchase for fast-moving category buyers and deploy targeted re-engagement campaigns, including time-sensitive offers, category recommendations based on first purchase behavior, and satisfaction follow-ups. Acting within this window before customers enter the at-risk zone is significantly more cost-effective than reactivating customers who have already churned.
- Focus on growing the retained customer base before shifting resources towards spending expansion programs. Until retention volume reaches a meaningful scale, upsell and cross-sell initiative will have limited measurable impact on revenue performance.

Data & Methodology

This analysis uses the Brazilian E-Commerce Public Dataset by Olist, publicly available on Kaggle. The dataset is a relational database consisting of multiple tables covering orders, customers, payments, and products across a two-year observation period.

The analysis combines revenue evaluation, customer cohort analysis, and customer spend analysis to assess marketplace performance and identify the underlying growth engine. Customer segments are defined as new customer, retained customer, and resurrected customer. All metrics and findings are derived from actual transaction-level data.

Background

The e-commerce industry has long recognized customer retention as one the most critical drivers of sustainable growth. While acquiring new customers is essential in the early stages of a marketplace, long-term profitability and revenue stability depend heavily on the ability to convert first-time buyers into loyal, repeat customers. Businesses that fail to build a strong retention engine inevitably find themselves trapped in a costly cycle of continuous acquisition, where growth is possible but increasingly inefficient over time.

This project was initiated to examine whether growth in a transactional marketplace is truly sustainable, or whether it remains disproportionately dependent on new customer acquisition. By analyzing customer behavior patterns across multiple dimensions, this project aims to surface structural weaknesses in the retention lifecycle and provide a foundation for more informed, data-driven decisions around customer engagement strategy.

This project is designed to answer one overarching question: is the growth of this marketplace sustainable and retention-driven, or is it still acquisition-dependent?

To answer this, the analysis is structured around five business questions:

1. How large is the revenue contribution gap between new and existing customers?
2. How quickly do cohorts decay after the first purchase?
3. Does revenue retention outperform customer retention?
4. Is there evidence of behavioral expansion among existing customers?
5. How significant is structural churn leakage based on purchase inactivity?

The analysis covers customer transaction data from October 2016 to August 2018. The analysis focuses on three customer segments: new customers, retained customers, and resurrected customers, with all metrics and findings derived from actual transaction-level data.

Objective

The primary objective of this analysis is to determine whether the growth of this marketplace is genuinely sustainable or primarily dependent on continuous customer acquisition. specially, this analysis aims to:

- Identify the underlying growth engine of the marketplace by evaluating the revenue contribution first transaction split between new and existing customers across the observed period.
- Analyze customer purchase behavior to understand whether customers return after their first transaction and, if so, how quickly retention deteriorates over time.
- Assess the degree of behavioral expansion among existing customers by examining whether returning customers demonstrate increased spending over time.
- Quantify the structural churn leakage within the existing customer base to identify where engagement is lost and where intervention is most likely to be effective.
- Provide data-driven recommendations that give the growth team a clear, actionable foundation for evaluating marketplace performance and prioritizing retention initiatives.

Methodology

The analysis was conducted in a structured manner, combining data extraction, exploratory analysis, feature engineering, and performance evaluation to assess marketplace growth from both a revenue and customer behavior perspective.

1. Data Extraction

The first step involved extracting relevant data from a relational database using Microsoft SQL Server. Queries were designed to retrieve transaction-level records necessary for customer segmentation, retention analysis, and revenue evaluation.

2. Exploratory Data Analysis

Following data extraction, an exploratory analysis was conducted to understand the structure and distribution of the data. This included summary statistics and distribution analysis for key variables, particularly interpurchase day, to identify patterns that would inform feature definition and threshold setting.

3. Feature Definition

Key analytical metrics and segments were defined to provide a consistent foundation for the analysis:

- **Customer Segment:** Three segments were defined based on purchase history. New customers are those making their first-ever purchase on the platform. Retained customers are those who return within a normal purchase cycle after their first transaction. Resurrected customers are those who had been inactive for an extended period before returning to make another purchase.
- **Interpurchase Day Threshold:** Thresholds were derived from the statistical distribution of the interpurchase day variable, specifically the **median (29 days)**, **75th percentile (122 days)**, and **90th percentile (240 days)**. These thresholds define three customer activity zones: active, at-risk, and churned, providing a data-driven basis for classifying customer engagement levels.
- **Customer Retention Rate (CRR) and Revenue Retention Rate (RRR):** Both metrics were calculated using the same base of existing customers, ensuring a consistent and comparable measurement. When RRR exceeds CRR, it indicates that returning customers are generating higher revenue per period than before, signaling a degree of spending expansion within the retained base. Given that Olist operates as a transactional marketplace rather than a subscription-based business, both metrics represent an adaptation of the conventional CRR and RRR framework to fit a non-recurring purchase context.

4. Data Characteristics & Limitation

An additional contextual factor worth noting is the nature of the products sold on this marketplace. A review of product categories with average interpurchase days exceeding 100 days reveals that the majority consist of products with medium to long usage cycles, including furniture, construction tools, musical instruments, and computers. More broadly, the overall product mix on this marketplace is dominated by durable goods rather than fast-moving consumer products. This has meaningful implications for how the retention findings in this analysis should be interpreted. In markets dominated by durable goods, a customer not returning within a one to two year observation window does not necessarily indicate disengagement, it may simply reflect that the product purchased has not yet reached the end of its useful life. This limitation applies most directly to the findings in customer cohort decay analysis and churn leakage analysis, and should be kept in mind when reading those sections.

5. Analytical Approach

The analysis was structured around four dimensions. Revenue contribution was evaluated by comparing the share of revenue generated by new customers against existing customers across the observed period. Customer behavior was assessed through cohort analysis to measure retention decay over time. Customer value was examined through Average Order Value comparison across segments. Structural churn leakage was quantified by classifying existing customer transactions into the three activity zones defined above.

6. Tools

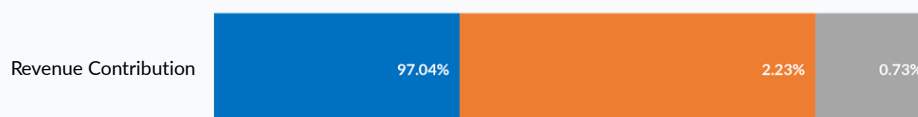
Microsoft SQL Server was used to extract and query data from the relational database. Python was used for exploratory data analysis, including distribution analysis and summary statistics. Microsoft Excel was used to conduct the core analysis and build supporting visualizations. Power BI was used to develop the interactive dashboard for performance monitoring.

New Customers Generate 97% of Revenue While the Existing Base Contributes Almost Nothing

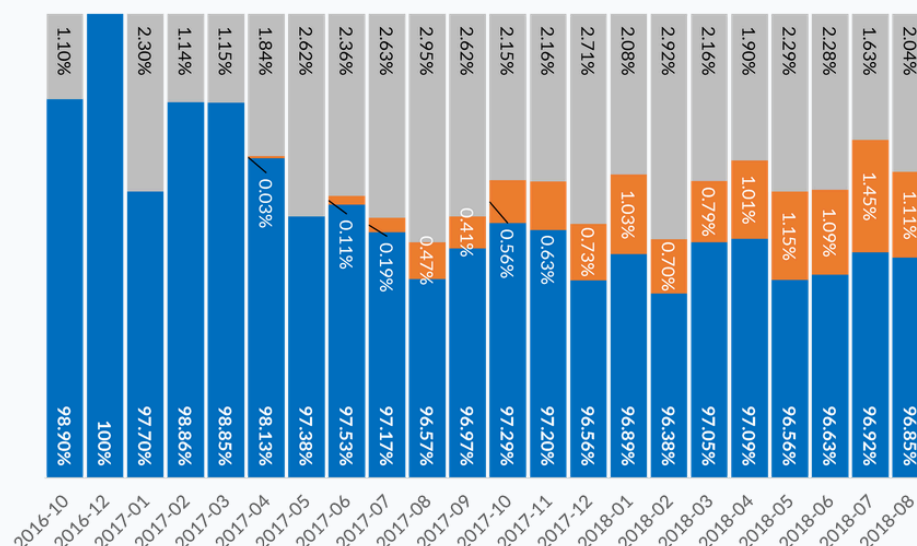
Revenue growth is overwhelmingly acquisition-driven, with minimal contribution from existing customers.

New Customer 97.04% of total revenue throughout the period	Retained 2.23% Stagnant, with no significant growth	Resurrected 0.73% Grew from 0% to 1.4% (Jul-18)	Acquisition Dependency 97.04% Revenue is dependent on new buyers
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Overall Revenue Contribution by Customer Segment
Aggregate across full observation period



Monthly Revenue Contribution by Customer Segment (Oct 2016 - Aug 2018)
Stacked 100% bar chart, each bar = 1 month



- Across 22 months of observation (October 2016 – August 2018), platform revenue was almost entirely driven by new customers, averaging 97.13% of monthly revenue contribution, while retained customers averaged only 2.16% and resurrected customers 0.72%. In aggregate, new customers accounted for 97.04% of total revenue, with retained at 2.23% and resurrected at 0.73%.
- This acquisition dominance is likely not purely a retention strategy failure. It also reflects the structural nature of the product mix. Durable goods carry long repurchase cycles by design, making it inherently difficult to build a meaningful retained customer base within a short observation window.
- Despite the small proportions, there is a notable signal worth tracking: retained and resurrected customer contributions show a gradual upward trend in the second half of 2018, suggesting that early cohorts are beginning to enter their second purchase window. This could serve as a leading indicator of a structural shift in revenue composition going forward.
- The platform is structurally exposed. Without a sufficiently large existing customer base acting as a revenue buffer, any slowdown in acquisition, whether from market saturation, rising customer acquisition costs, or competitive pressure, will translate directly into revenue decline with no repeat-buyer base to absorb the impact.

Retention Collapses After the First Purchase With No Cohort Showing Signs of Recovery

Customer cohorts decay almost entirely after the first purchase, indicating failure in second-purchase conversion.

AVG Retention M1				Decay M0 → M1				Strongest Cohort M1												
0.48%				> 99%				2017-04												
Average across all cohorts				Almost all customers do not return				0.75%, highest at M1												
Month Cohort	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	19	20
2016-10	100%						0.38%			0.38%		0.38%		0.38%		0.38%		0.38%	0.75%	0.75%
2016-12	100%	100%																		
2017-01	100%	0.27%	0.27%	0.13%	0.40%	0.13%	0.40%	0.13%	0.13%		0.40%	0.13%	0.67%	0.40%	0.13%	0.13%	0.27%	0.40%	0.13%	
2017-02	100%	0.18%	0.30%	0.12%	0.42%	0.12%	0.24%	0.18%	0.12%	0.18%	0.12%	0.30%	0.12%	0.18%	0.12%	0.06%	0.06%	0.18%		
2017-03	100%	0.47%	0.35%	0.47%	0.35%	0.16%	0.16%	0.31%	0.31%	0.08%	0.35%	0.12%	0.20%	0.12%	0.16%	0.24%	0.08%	0.12%		
2017-04	100%	0.66%	0.26%	0.22%	0.26%	0.26%	0.39%	0.31%	0.31%	0.18%	0.26%	0.09%	0.04%	0.04%	0.09%	0.09%	0.18%			
2017-05	100%	0.48%	0.45%	0.28%	0.28%	0.34%	0.45%	0.14%	0.26%	0.31%	0.26%	0.34%	0.23%	0.03%	0.17%	0.20%				
2017-06	100%	0.52%	0.42%	0.42%	0.32%	0.39%	0.36%	0.23%	0.13%	0.19%	0.29%	0.39%	0.16%	0.19%	0.32%					
2017-07	100%	0.58%	0.34%	0.24%	0.34%	0.21%	0.31%	0.10%	0.21%	0.29%	0.21%	0.31%	0.13%	0.24%						
2017-08	100%	0.70%	0.39%	0.27%	0.34%	0.56%	0.29%	0.27%	0.15%	0.15%	0.24%	0.19%	0.12%							
2017-09	100%	0.69%	0.54%	0.37%	0.44%	0.32%	0.22%	0.25%	0.27%	0.17%	0.25%	0.07%								
2017-10	100%	0.75%	0.25%	0.09%	0.25%	0.21%	0.21%	0.39%	0.30%	0.18%	0.21%									
2017-11	100%	0.59%	0.38%	0.17%	0.17%	0.20%	0.13%	0.18%	0.13%	0.06%										
2017-12	100%	0.20%	0.30%	0.37%	0.26%	0.20%	0.17%	0.02%	0.19%											
2018-01	100%	0.33%	0.36%	0.29%	0.29%	0.17%	0.17%	0.23%												
2018-02	100%	0.34%	0.40%	0.30%	0.25%	0.22%	0.20%													
2018-03	100%	0.39%	0.34%	0.31%	0.12%	0.12%														
2018-04	100%	0.59%	0.30%	0.24%	0.15%															
2018-05	100%	0.53%	0.26%	0.18%																
2018-06	100%	0.42%	0.27%																	
2018-07	100%	0.52%																		
2018-08	100%																			

Note: 2016-12: M1 retention of 100% is not an indicator of loyalty, as this cohort consists of only one customer and is therefore not representative as a benchmark. Aug-2018 data is included with a note that the retention rate for this cohort cannot be calculated (observation period is incomplete). Index 18 does not appear as no customers returned during that period.

- Every cohort experiences a sharp drop immediately after the first month, with average M1 retention sitting at roughly 0.5% or below. This means more than 99% of customers do not make a second purchase in the month following their first transaction.
- Monthly retention rates consistently stay below 1% across all cohorts, with no meaningful signs of recovery after M1. While this may appear to be a retention problem, the pattern most likely reflects the natural repurchase behavior of durable goods categories, which carry inherently long buying cycles, rather than a direct indication of platform failure.
- Notably, the 2016-10 cohort shows a slightly different pattern, with purchasing activity reappearing at much later periods such as M6, M9, M11, and even M19 and M20. This could be an early signal that a small subset of customers do return after an extended gap, which is consistent with the durable goods hypothesis.
- From a business perspective, this creates a dual pressure. Customer lifetime value per individual remains very low since nearly all transactions end at the first purchase. At the same time, acquisition spend continues to be deployed each month to replace customers who do not return, making revenue growth progressively more expensive to sustain over time. Every cohort experiences a sharp drop immediately after the first month, with average M1 retention sitting at roughly 0.5% or below. This means more than 99% of customers do not make a second purchase in the month following their first transaction.

Returning Customers Transact Below Platform Average With No Signs of Revenue Expansion

Returning customers spend slightly more per transaction, but their small base limits revenue impact

AVG CRR (Feb-17 - Aug-18)

113.08%

Monthly average of existing customers

AVG RRR (Feb-17 - Aug-18)

116.07%

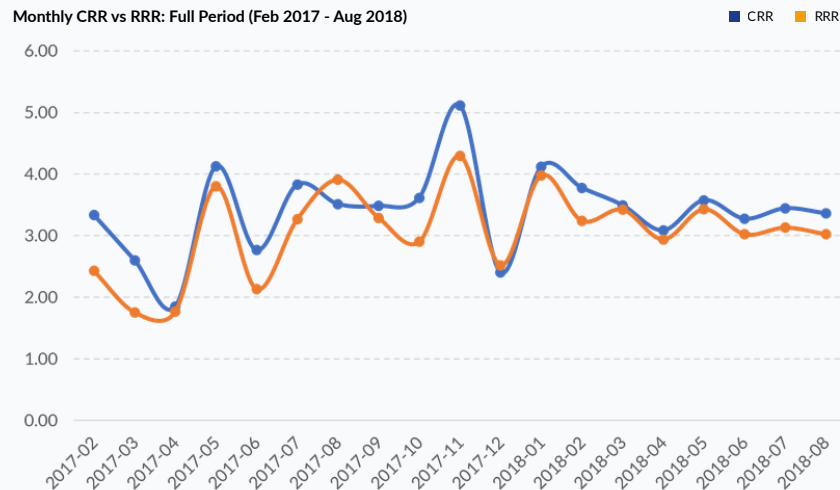
Monthly average of existing revenue

Gap RRR VS CRR

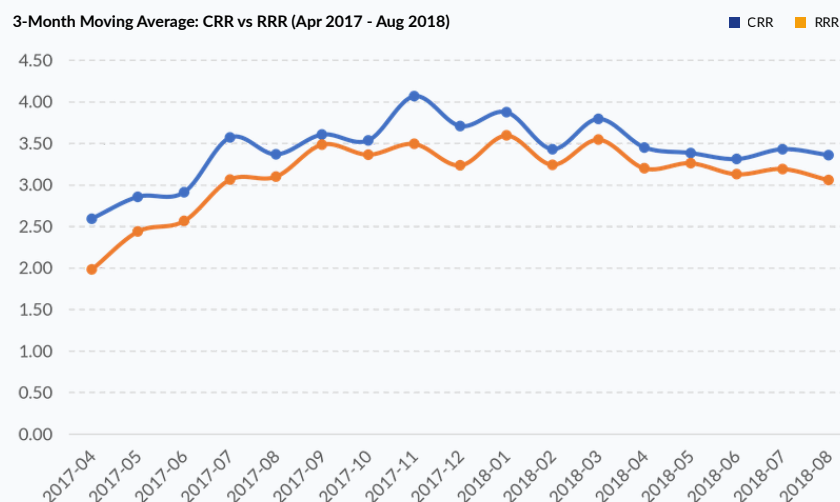
+ 2.99 pp

Revenue grows faster than customer count

Monthly CRR vs RRR: Full Period (Feb 2017 - Aug 2018)



3-Month Moving Average: CRR vs RRR (Apr 2017 - Aug 2018)

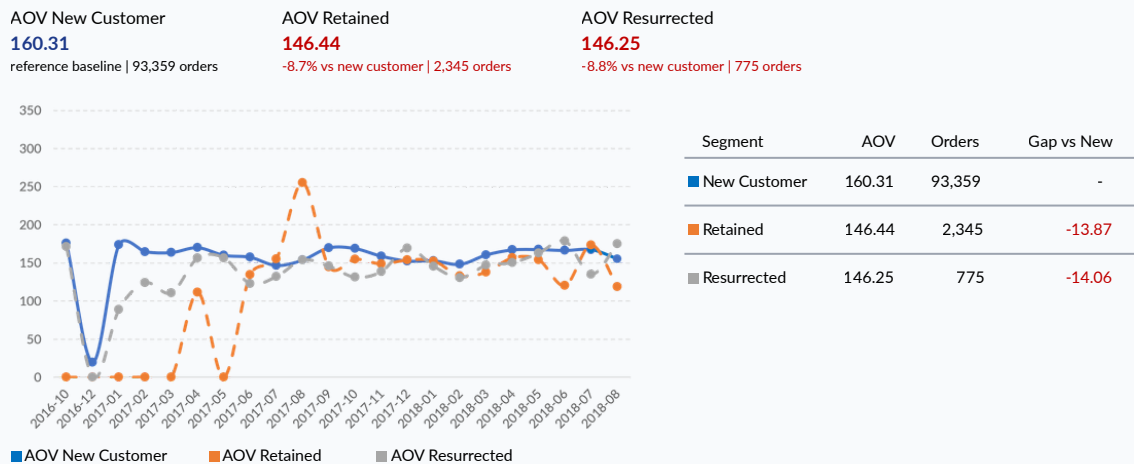


Note: CRR and RRR measure the month-over-month ratio of existing customer count and revenue (Retained + Resurrected). Values above 100% can occur due to spikes in Resurrected customers in certain months. Jan 2017 is excluded as it has no prior month to serve as denominator. These metrics are adapted from subscription-based CRR/RRR conventions for a transactional e-commerce context.

- Both CRR and RRR consistently sit around the 3% range, averaging approximately 3.4% and 3.0% respectively across the observation period. This reaffirms the finding from revenue contribution analysis that the platform remains heavily dependent on new customers as the primary revenue driver.
- More telling than the absolute numbers is the consistent relationship between the two metrics. CRR is persistently higher than RRR across almost the entire period, suggesting that existing customers who return tend to transact at lower values than the platform average. In other words, the customers who come back are not the highest-spending ones.
- Looking at the moving averages, both metrics trend relatively flat and move in tandem without meaningful divergence. This indicates no structural improvement in the quality of the existing customer base over the observation window.
- This reinforces the broader argument that the platform's growth engine runs entirely on acquisition volume rather than value expansion from existing customers. Until RRR consistently exceeds CRR, the platform cannot be said to have an expanding revenue base from its returning customers.

Existing Customers Spend Less Than New Ones With No Behavioral Expansion Detected

Returning customers spend slightly less per order than new customers, with AOV remaining flat across all segments

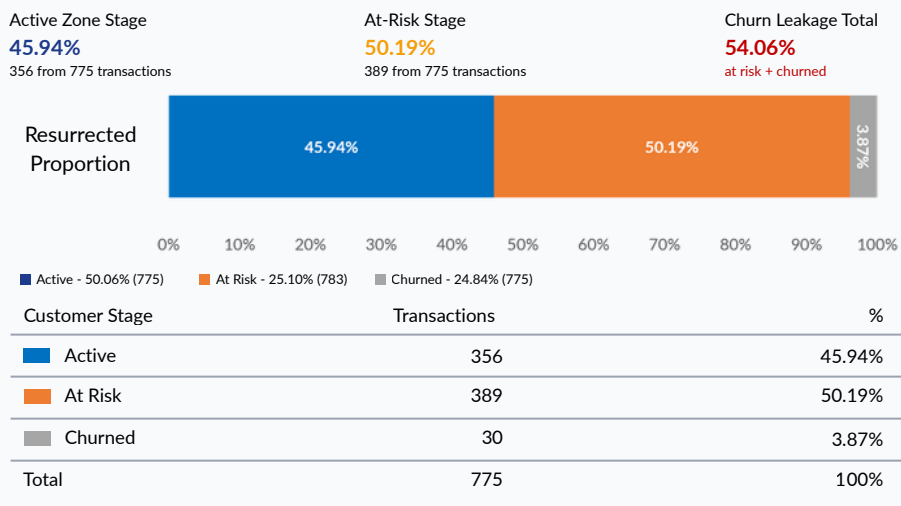


Note: AOV Retained and AOV Resurrected in early periods (before mid-2017) reflect very small or zero order volumes and should not be interpreted as representative averages. The spike in AOV Resurrected at August 2017 (R\$255) is driven by a small sample size (n=12) and should be interpreted with caution. Data points with insufficient volume are retained in the chart to preserve timeline continuity but are flagged here to avoid misreading.

- New customer AOV remains stable in the R\$150–R\$170 range throughout the observation period with no meaningful upward trend, indicating no spending expansion from first-time buyers over time. The platform consistently attracts new customers, but the per-transaction value is not growing.
- Retained customer AOV started very low in early periods, around R\$88–R\$110 between 2017-01 and 2017-03, before gradually climbing and stabilizing in the R\$140–R\$175 range in the second half of 2018. This improvement likely reflects a natural selection effect rather than a shift in individual spending behavior: customers who choose to return to the platform tend to skew toward those with higher purchasing power.
- Even so, retained customer AOV on average still falls below new customer AOV. This means returning customers have not yet matched the transaction value of first-time buyers, which weakens the case for retention as a more efficient growth lever, at least from an AOV standpoint.
- On the volume side, the number of retained customer orders does grow over time, but this reflects the natural accumulation of a larger customer base as the platform matures, not an increase in purchase frequency per individual. Taken together, there are no clear signs of behavioral expansion on either the AOV or frequency dimension, further confirming that the platform has not yet succeeded in driving its existing customers to spend more or buy more often.

Over Half of Resurrected Customer Transactions Occur Outside the Normal Purchase Cycle

Over half of resurrected customers are already at-risk of churning again before the observation period ends



Note: Churn leakage is measured using the Resurrected customer segment, defined as existing customers who returned to purchase after exceeding the normal interpurchase window (>122 days). Customer stage reflects their position at the end of the observation period, based on days since their last transaction: Active = 0–163 days; At-Risk = 164–395 days; Churned = >395 days. At-Risk and Churned together represent the leakage (customers who returned on their own but are at risk of being lost again without any intervention from the business).

- Although some resurrected customers do find their way back to the platform, their contribution to total revenue stands at only 0.73%, which means this segment is too small to serve as a meaningful revenue buffer when acquisition slows down.
- More concerning is the status of resurrected customers at the end of the dataset: 50.19% have already entered the at-risk phase, while only 45.94% remain active and 3.87% have fully churned. This means the business is not only at risk of losing this segment once, but of losing the same customers a second time without any form of intervention.
- The return of resurrected customers is most likely not the result of structured retention efforts, but rather a reflection of the natural buying cycle of durable goods. Those who come back have probably just organically entered their next purchase cycle, not been nudged back by any re-engagement activity from the business. The implication is that the platform does not yet have a reliable mechanism to actively win back customers who have lapsed.
- Taken together, this pattern describes a structurally driven churn leakage. Customers are not leaving because of a single fixable failure point, but because of inherently long product cycles combined with an absence of sufficient touchpoints to sustain engagement between purchases.

Summary & Recommendations

Summary:

The analysis confirms that growth in this marketplace is almost entirely driven by new customer acquisition, while the existing customer base contributes very little to overall revenue. This pattern is not inherently problematic in the short term, as acquisition-led growth can sustain revenue momentum when customer inflow remains strong. However, if this dependency persists without meaningful improvement in retention, the business will face increasingly serious structural challenges as acquisition costs rise over time.

An important contextual factor that shapes how these findings should be read is the nature of the products sold on this marketplace. The product mix is dominated by durable goods with medium to long usage cycle, including furniture, construction tools, electronics, and musical instruments. This means that a portion of the low retention and high churn leakage figures observed in this analysis may reflect natural buying behavior rather than pure retention failure. Customers who purchased durable goods may simply not need to repurchase within the two-years observation window. This does not invalidate the core findings, but it does add an important layer of nuance to how the numbers should be interpreted and acted upon.

What remains clear regardless of product context is that the business currently lacks the infrastructure to distinguish between customers who have genuinely churned and those who are simply in a long buying cycle. Without this capability, re-engagement efforts cannot be efficiently targeted, and the opportunity to drive cross-category purchasing among existing customers remains largely untapped.

Key insights:

1. New customers account for 97.04% of total revenue across the observation period, while retained and resurrected customers together contribute less than 3%. The platform does not yet have a sufficiently large existing customer base to serve as a revenue buffer when acquisition slows down.
2. Every cohort experiences a sharp retention drop immediately after the first month, with monthly retention consistently staying below 1% across all cohorts. This pattern most likely reflects the natural buying cycle of durable goods rather than a direct platform failure.
3. CRR and RRR move in tandem around the 3% range with no meaningful divergence, and CRR is persistently higher than RRR. This indicates that returning customers tend to transact at lower values than the platform average, which means the platform cannot yet claim to have an expanding revenue base from its existing customers.
4. There are no signs of behavioral expansion on either the AOV or frequency dimension. New customer AOV is flat in the R\$150–R\$170 range, while retained and resurrected AOV averages roughly R\$14 lower. Growth in existing customer order volume reflects the natural accumulation of a larger base over time, not an increase in purchase frequency per individual.
5. More than half of resurrected customers (54.06%) have already entered the at-risk or churned zone by the end of the observation period. Their return to the platform was most likely driven by natural buying cycles rather than structured retention efforts, leaving the business at risk of losing the same customers a second time without intervention.

Summary & Recommendations

Recommendations:

1. Prioritize post-purchase engagement by implementing onboarding sequences, personalized follow-ups, and loyalty incentives to convert first-time buyers into repeat customers. This directly addresses the acquisition dependency identified in the analysis and is the most immediate lever available to the growth team.
2. Develop a category-aware engagement strategy that accounts for natural buying cycles. For customers who purchased durable goods such as furniture, construction tools, or electronics, focus on cross-category discovery and value-added content rather than repurchase prompts. For customers in faster-moving categories, deploy proactive re-engagement within the established interpurchase day threshold windows. This distinction will improve campaign relevance, reduce wasted spend, and produce cleaner retention data over time.
3. Identify the critical window between the first and second purchase for fast-moving category buyers and deploy targeted re-engagement campaigns, including time-sensitive offers, category recommendations based on first purchase behavior, and satisfaction follow-ups. Acting within this window before customers enter the at-risk zone is significantly more cost-effective than reactivating customers who have already churned.
4. Focus on growing the retained customer base before shifting resources towards spending expansion programs. Until retention volume reaches a meaningful scale, upsell and cross-sell initiative will have limited measurable impact on revenue performance.